

considerably to the body of knowledge that itself contradicted the efficient markets hypothesis.

The following chapters will show how I combined the best elements of academic momentum research, added a few ideas of my own, and came up with a simple and practical method for generating exceptional profits with less risk by using momentum. Furthermore, I will show how you can apply this methodology to the largest liquid markets having high expected long-run returns.

Before doing this, I will introduce you to the history of momentum theory so you can understand and appreciate momentum's historical effectiveness and longevity. I will also show how momentum fits into the strange and mysterious world of modern finance. Then we will look at the logical underpinnings behind momentum to help you better understand how and why it works. Next, we will look at asset choices and alternative investment opportunities. I will then be ready to present a simple and effective momentum-based model that you can use.

After presenting my model, I will explore other momentum approaches and additional applications using dual momentum. By the end of the book, you should have a good understanding of momentum, as well as everything you need to know in order reap its rewards.